

A DATA-DRIVEN SPECIAL REPORT

NIGERIA'S 2026 FEDERAL BUDGET

PAYING THE PAST, MORTGAGING THE FUTURE

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Group 25

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EXECUTIVE SUMMARY

Nigeria's 2026 Federal Budget totals ₦58.47 trillion. This investigation — built entirely on official government documents — examined the real story behind that number: where the money goes, what it costs ordinary Nigerians, and whether the promises attached to it will be kept.

Three findings define this report:

- ◆ Nigeria pays creditors 3.5 times more than it invests in health and education combined — ₦15.91 trillion to debt servicing versus ₦4.55 trillion to both social sectors.
- ◆ The security sector receives ₦5.85 trillion, yet most of it goes to salaries. In Police Affairs, less than 5% reaches actual equipment and infrastructure.
- ◆ Capital execution has collapsed. In 2025, only 18% of the capital budget was released by Q3. The 2026 capital target is nearly double last year's — with no structural change to explain why performance would improve.

Behind every trillion-naira figure are real people — teachers in Kano, nurses in Enugu, market traders in Yaba — waiting for a government budget to become a lived reality.

1. THE STORY BEGINS WITH YOU

What a ₦58.47 trillion budget means for the market trader, the teacher, the nurse

"If you ask the average Nigerian — a market trader in Yaba, a teacher in Kano, or a nurse in Enugu — what the federal budget means for them, they will likely give the same answer: very little."

For years, the federal budget has been treated as a document for politicians and economists. But behind every allocation is a consequence — whether a hospital has oxygen, whether a classroom has a roof, whether a road ever gets completed.

This investigation treated the 2026 budget not as a spreadsheet but as a national story. Three questions drove the analysis:

- ▶ How much of Nigeria's future is being sacrificed to service past debts?
- ▶ Why does insecurity persist despite massive security allocations?
- ▶ Does the capital budget represent real infrastructure — or another cycle of unfulfilled promises?

All findings are sourced exclusively from official government documents: the 2026 Appropriation Bill, the Appropriation Bill Details, and the 2026–2028 Medium Term Expenditure Framework and Fiscal Strategy Paper (MTEF/FSP).

2. WHERE DOES NIGERIA'S MONEY GO?

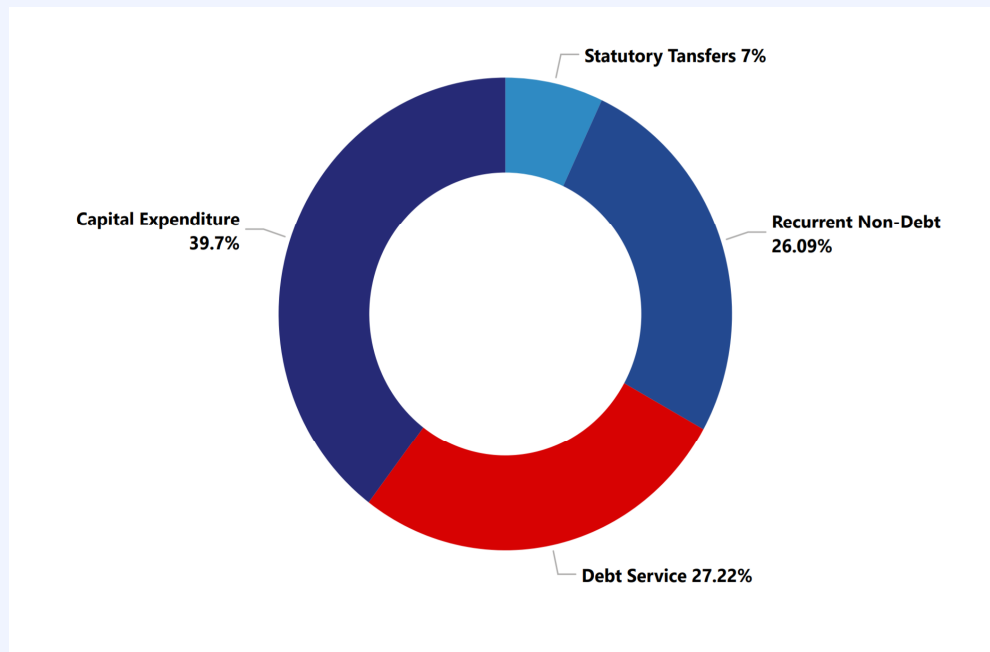
The first look inside a ₦58.47 trillion budget — and what it immediately reveals

The 2026 Federal Budget is divided into four categories: Capital Expenditure (₦23.21 trillion, 39.7%), Debt Servicing (₦15.91 trillion, 27.2%), Recurrent Non-Debt (₦15.25 trillion, 26.1%), and Statutory Transfers (₦4.10 trillion, 7.0%).

At first glance, capital expenditure appears dominant. But debt servicing alone — before a single road is built or hospital upgraded — consumes more than one quarter of everything Nigeria earns and spends. That is the context this chart makes visible.

₦1 of Every ₦4 Goes to Debt — Before a Single Road Is Built

Capital looks largest — but debt consumes more than all of health and education combined.



Source: 2026 Appropriation Bill, Page 1

KEY INSIGHT Debt servicing is the second-largest slice of Nigeria's entire budget — larger than every naira spent on health, larger than every naira spent on education, consuming fiscal space that would otherwise fund roads, hospitals, and schools.

3. PAYING CREDITORS BEFORE CITIZENS

Nigeria spends 3.5 times more servicing debt than funding health and education combined

"For every ₦100 Nigeria earned in 2024, ₦60 went straight to debt payments — leaving just ₦40 for everything else: hospitals, schools, roads, salaries, security."

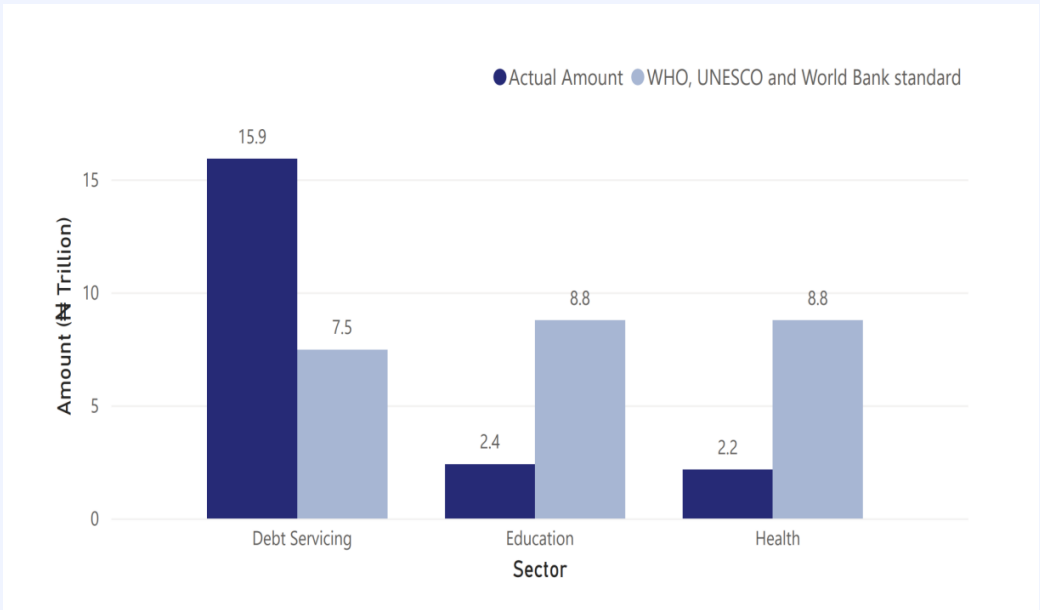
₦15.91 trillion. That is what Nigeria has allocated strictly to debt servicing in 2026 — 27.2% of the entire federal budget going to repay money already borrowed. Not building anything new. Not paying teachers. Not equipping hospitals. Repaying the past.

Education received ₦2.40 trillion. Health received ₦2.15 trillion. Combined, both sectors received ₦4.55 trillion — Nigeria pays creditors 3.5 times that amount. The Abuja Declaration commits African governments

to 15% of national budgets for healthcare. Nigeria allocated 3.68%. UNESCO recommends 15–26% for education. Nigeria allocated 4.10% and the world bank revenue to debt servicing percentage.

Nigeria Pays Creditors 3.5× More Than It Invests in People

Debt towers over education and health — both of which fall far below what African leaders and international bodies recommend.



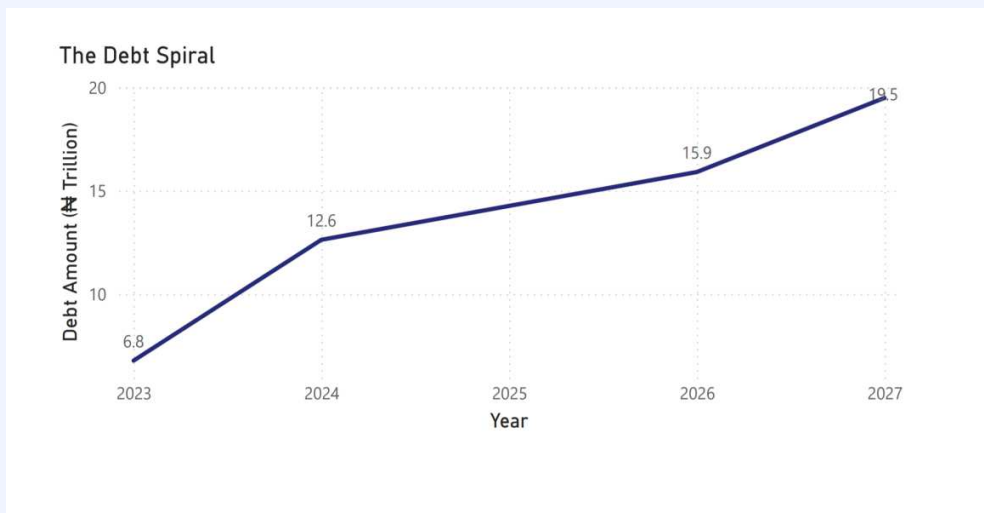
Source: 2026 Appropriation Bill; Abuja Declaration 2001; UNESCO Education Financing Recommendations

KEY INSIGHT The light blue bars show what Nigeria should be spending based on commitments its own leaders signed. The dark bars show what was actually allocated. The gap is not close — and it is growing.

And the trajectory is getting worse. Debt servicing rose from ₦6.78 trillion in 2023 to ₦12.63 trillion in 2024. The 2026 budget allocates ₦15.91 trillion. The government's own MTEF projects ₦19.5 trillion by 2027 — nearly triple 2023 levels in four years.

The Debt Spiral: From ₦6.8 Trillion to ₦19.5 Trillion in Four Years

Nigeria's debt bill has nearly doubled since 2023. By 2027, the government's own numbers show it nearly tripling.



Source: MTEF/FSP 2026–2028, Pages 18 & 54–55; 2026 Appropriation Bill, Part K

KEY INSIGHT The 2027 figure of ₦19.5 trillion is not a critic's projection — it comes from the Nigerian government's own Medium Term Expenditure Framework. Nigeria is borrowing to service borrowing, and the bill grows every year.

4. THE SECURITY PARADOX

₦5.85 trillion spent on security — yet Nigerians do not feel safe. The data explains why.

"Nigeria's Defence wage bill alone — just salaries — is larger than the entire national Health budget. Yet less than 5 kobo of every naira the Police receives goes toward a vehicle, a radio, or a bullet-proof vest."

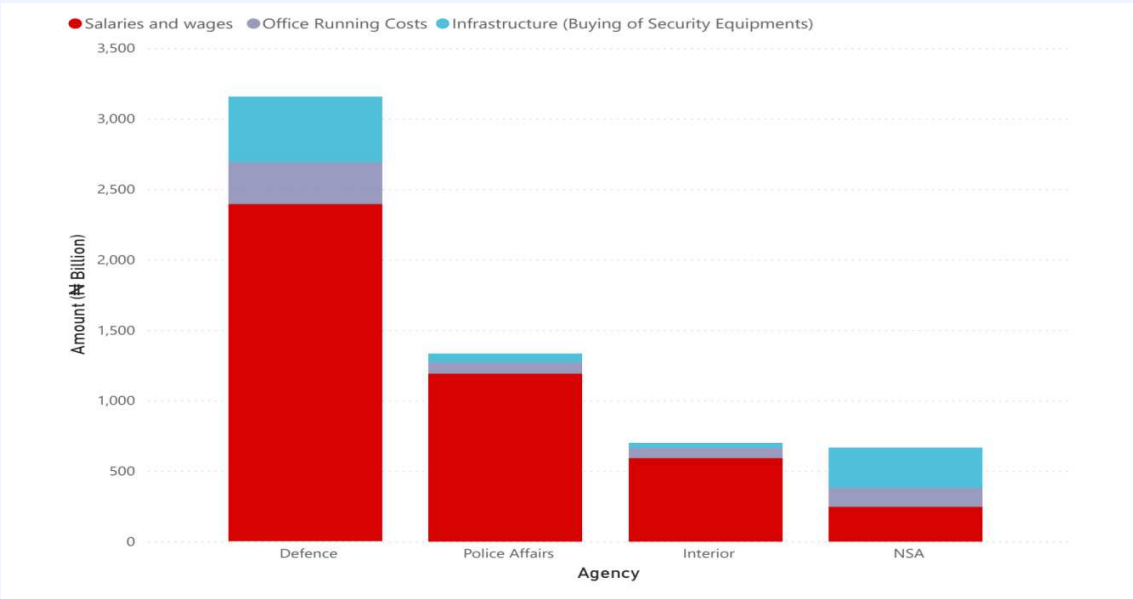
Combined allocations to Defence, Police Affairs, Interior, and the National Security Adviser total ₦5.85 trillion in 2026 — more than Nigeria spends on health and education combined. Yet terrorism, kidnapping, communal violence, and attacks on farmers continue across the country.

The investigation found the data-driven reason. The structure of security spending tells a different story from the headline total. Defence personnel costs alone reach ₦2.39 trillion — exceeding the entire Health budget

of ₦2.15 trillion. In Police Affairs, less than 5% of total allocation — ₦60.9 billion out of ₦1.33 trillion — goes to capital: vehicles, weapons systems, communications, surveillance. The overwhelming share is salaries and office running costs.

Nigeria Pays Salaries, Not Solutions: Where Security Money Actually Goes

Look at the red — that is salaries. In Police Affairs, the blue bar for equipment is barely visible at the top.



Source: 2026 Appropriation Bill Details, Pages 1–2, MDA Codes 0116, 0155, 0124, 0157

KEY INSIGHT You cannot fight crime with wages alone. Police Affairs received ₦1.33 trillion in 2026. Less than 5% goes to actual equipment. The rest is salaries and running costs — keeping agencies staffed but not operationally equipped.

The NSA is the exception: 43% of its allocation is capital. But the Appropriation Bill provides no itemisation of what those projects are — a transparency gap the investigation formally flagged.

5. THE PROMISES NIGERIA NEVER KEEPS

₦23.2 trillion budgeted for 2026 capital projects. History says most of it will not be released.

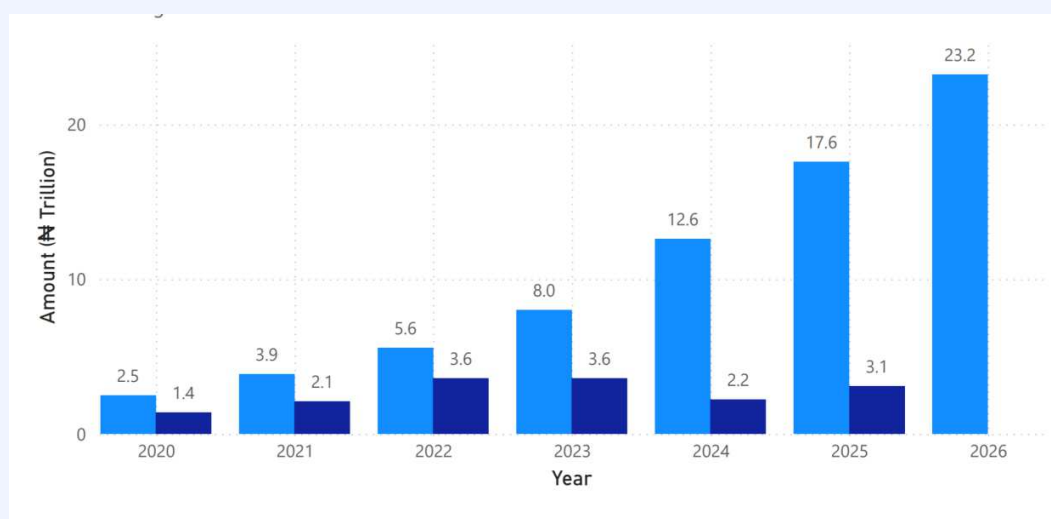
"In 2025, the government approved ₦17.6 trillion for capital projects. By Q3, only ₦3.1 trillion had actually been released — an 18% execution rate. The 2026 capital target is ₦23.2 trillion. History is not encouraging."

Capital expenditure is where government promises become visible — or do not. Roads, hospitals, schools, electricity infrastructure. In 2026, Nigeria allocates ₦23.21 trillion to these projects. But not all of it is new development: ₦1.7 trillion is earmarked to settle 2024 contractor liabilities, and ₦100 billion for other existing contractor debts. The budget is partly paying yesterday's promises before it can fund today's.

The deeper problem is execution. The historical record across six years shows a consistent and widening gap between what is approved and what is actually released — 56% in 2020, 55% in 2021, 65% in 2022, then collapsing to 45% in 2023, and ~18% in both 2024 and 2025. Three structural causes explain the pattern: oil production misses target, the Naira depreciates far beyond budget assumptions, and inflation runs hotter than projected — all of which eat into revenue and make foreign debt more expensive, crowding out capital releases.

Nigeria Keeps Promising More Than It Delivers — And the Gap Is Getting Worse

Every year, far less capital is released than was approved. In 2026, the target nearly doubles — with no structural fix in sight.



KEY INSIGHT In 2025, only ₦3.1 trillion of ₦17.6 trillion was released by Q3 — 18%. The 2026 budget nearly doubles the capital target to ₦23.2 trillion. If the same structural problems remain, the gap between promise and delivery will be the largest Nigeria has ever seen.

6. THE HUMAN COST OF THESE CHOICES

Behind every trillion-naira figure is a person waiting for government to show up

Numbers matter because people matter. When debt servicing consumes ₦15.91 trillion, hospitals run short of medicine because health received only ₦2.15 trillion. When police agencies spend 95% on salaries, communities remain exposed because officers lack vehicles and radios. When capital projects execute at 18%, roads budgeted years ago remain unfinished, the same contractor goes unpaid, and the same potholes remain.

And the cycle compounds. When oil revenue falls short and the Naira weakens, the government borrows more to cover the gap. Next year's debt servicing bill grows larger. Less fiscal space remains. The same trade-offs return — and ordinary Nigerians bear the cost of choices they had no voice in making.

"The budget is not an abstract spreadsheet in Abuja. For millions of Nigerians, it is the condition of a classroom roof during rainy season. It is whether a hospital has oxygen. It is whether roads get completed and communities feel safe."

7. CONCLUSION

Is Nigeria building its future — or merely financing its past?

The 2026 Federal Budget reveals a country operating under severe fiscal pressure. Rising debt obligations, weak capital execution, and a security structure built more on headcount than capability continue to define national spending — not ambition, not planning, but obligation and inertia.

This investigation found three core truths in the data:

- ◆ Nigeria pays creditors 3.5 times more than it invests in the health and education of its citizens combined.
- ◆ Nigeria's security sector consumes ₦5.85 trillion but channels the overwhelming share toward salaries — a structure that explains persistent insecurity despite record spending.
- ◆ Nigeria's capital budget is increasingly a promise, not a plan. An 18% execution rate, buried contractor liabilities, and structural revenue misses mean infrastructure citizens wait for may never arrive.

Nigeria's fiscal challenge is no longer simply about how much is budgeted. It is about whether national priorities are structured to actually deliver — and whether public resources ever translate into measurable improvements in citizens' lives.

Is Nigeria building its future — or merely financing its past?

Behind every trillion Naira allocation are real people waiting for government promises to become reality.

8. RECOMMENDATIONS

What the data says Nigeria must do differently

- 1. Reduce debt dependency** — The trajectory from ₦6.78T in 2023 to a projected ₦19.5T in 2027 is not sustainable. Fiscal discipline and reduced reliance on debt-financed spending are essential.
- 2. Honour international commitments** — Increase health and education allocations toward the 15% Abuja Declaration and 15–26% UNESCO benchmarks — commitments Nigeria's own leaders signed.
- 3. Reform security spending structure** — Shift composition toward capital investment. Salaries keep agencies staffed; equipment keeps communities safe.
- 4. Fix capital execution** — Implement credible project monitoring and release mechanisms. A budget executing at 18% is not a budget — it is a list of intentions.
- 5. Stop contractor debt accumulation** — Settle contractor liabilities within the same fiscal year. Carrying ₦1.8 trillion in old debts into a new capital budget compounds implementation failure.
- 6. Improve transparency** — Itemise NSA capital allocations. Publish quarterly implementation reports. Make fiscal data genuinely accessible to citizens, not just specialists.

DATA SOURCES

- 2026 Appropriation Bill — Federal Government of Nigeria
- 2026 Appropriation Bill Details — Ministry of Finance (MDA-level allocations)
- 2026–2028 Medium Term Expenditure Framework & Fiscal Strategy Paper (MTEF/FSP) — Budget Office of the Federation
- Abuja Declaration 2001 — African Union
- UNESCO Education Financing Recommendations
- CBN Fiscal Policy Historical Data (Capital execution 2015–2023)
- BudgIT 2026 Budget Review / Mid-Year Reports (2024 capital execution)
- PwC Nigeria Budget Insights 2026 (2025 capital execution, Q3)